Summit will yield only a limited trade truce extension

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【メール原文】

US-China summit will probably produce only a six-month extension of the trade truce. Prospects for AI talks have dimmed after a US intelligence report||||||||||||||

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United States
Summit will probably produce a shorter extension of the trade truce. The White House is pushing to extend the Busan truce by only six months, rather than the expected 12, apparently to preserve leverage over Beijing.

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While a shorter extension may appear to worsen relations—Beijing had hoped for a longer one—a narrower window could actually strengthen stability. If confirmed, a six-month extension would give both sides a greater incentive to honor commitments made in earlier talks and summits before the truce expires again in early 2027.
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Progress on the AI working group will likely remain limited in the run-up to the summit. A White House official denied reports of a mid-September bilateral meeting focused on AI safety. The more likely outcome is that AI will be folded into pre-summit trade talks between US Treasury Secretary Scott Bessent and Chinese Vice Premier He Lifeng as one issue among several. Beijing still views an AI dialogue as a potential deliverable and has repeatedly pressed for it in preparatory talks with the US.
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The latest US government advisory will make an AI dialogue more difficult. A US intelligence report published on 8 September accused China's top six AI firms of carrying out "malicious" industrial-scale distillation campaigns against US frontier models. The report stopped short of calling for action against China. Instead, it recommended defensive steps such as better detection and cross-provider intelligence

sharing. China’s foreign and commerce ministries rejected the advisory the following day, defending distillation as standard industry practice and warning of retaliation if the US sanctions the named firms.

Economic Policy

Bank recapitalization will ease pressure on lenders amid weak private credit demand. Plans announced on 6 September implement a policy measure that Premier Li Qiang outlined in the government work report at the Two Sessions in March. The package allocates 300 billion yuan ($45 billion) in special treasury bond proceeds to equity injections for eight state-owned banks and insurance companies.

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The capital injection will help banks manage deteriorating asset quality without sharply reducing credit. Fresh core Tier 1 capital will increase lenders’ capacity to absorb losses tied to property-sector weakness and local-government debt restructuring. Falling net interest margins limit banks’ ability to rebuild capital through retained earnings, which makes new equity useful for absorbing losses and sustaining lending to government priorities.

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The move follows 500 billion yuan in fiscal injections into four major banks in 2025. This year’s smaller package also extends special treasury bond support to insurers for the first time, which will strengthen their capacity to absorb investment risks and maintain long-term investment.

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Additional capital alone will do little to revive borrowing demand. Household loans have contracted so far in 2026, while government borrowing is propping up total credit demand. The package will limit downside risks to credit availability, but weak domestic demand will prevent it from spurring a broad acceleration in credit.

Politics

Beijing’s ideological campaign strengthens Xi’s control ahead of the 21st Party Congress. Since late August, Beijing has published People's Daily articles on President Xi Jinping’s party-building theory almost every day, and it established a dedicated research center on 1 September. These moves build on two volumes of the doctrine published in June. The doctrine covers party discipline and governance, the same framework that underpins the anti-corruption campaign. With the Fifth Plenum in October focused on that agenda, the pressure on officials is not easing.

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Xi remains firmly in control. The 30 July Politburo readout said the Fifth Plenum’s main item would be “major questions in advancing comprehensive and strict party governance.” The doctrine’s repeated emphasis on “centralized, unified leadership” makes the practical meaning clear.

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The plenum’s focus on party governance makes clear that the anti-corruption campaign is not winding down. The doctrine emphasizes that “self-purification, discipline, and increased oversight” are not temporary tools but permanent features of governance. Businesses should not expect pressure to ease because the Fifth Plenum will further reinforce that framework.

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The scale of the mobilization exceeds what a single plenum would normally require. Beijing is aligning doctrine, institutional infrastructure, and performance standards at the same time, suggesting it is preparing for possible structural shifts at the 21st Party Congress next year. It remains unclear whether that effort will lead to a party charter amendment, a new ideological designation, or another step of equal significance.

Foreign Policy

Beijing will seek to bolster ties with India at the BRICS summit. Xi will use his attendance at the summit in New Delhi on 12-13 September—his first visit to India since 2019—to build on improving ties between Beijing and New Delhi. Last month, the two countries announced an eight-point consensus agreement to ease border tensions after a deadly clash in 2020. Even so, lingering mistrust will continue to limit deeper cooperation (see: Underlying distrust will limit impact of India-China border announcement , 28 August 2026).

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Xi's meeting with Prime Minister Narendra Modi will likely be the highlight of the summit. Xi will be accompanied by a business delegation of more than 400 people as a show of China's interest in deepening trade and investment ties with India. However, the bilateral relationship will remain defined by economic competition as Beijing seeks to discourage companies from relocating manufacturing operations from China to India. India's Serious Fraud Investigation Office also opened an investigation this week into the operations of Chinese tech company Xiaomi in the country.

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This year's BRICS summit will likely be understated and place less emphasis on Chinese priorities. New Delhi is wary of antagonizing Washington or openly criticizing the US and Israel over the war in Iran. India also remains skeptical of Chinese-led efforts to develop an alternative BRICS currency to challenge the dollar's dominant role in international trade settlement. For its part, Beijing will likely defer its broader ambitions until it hosts the next BRICS summit in 2027 (see: BRICS Summit conference call , 3 September 2026).

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Xi will hold bilateral meetings with several other foreign leaders. He could meet with the leaders of Iran, UAE, and Saudi Arabia, although he will likely maintain China's balanced position on the conflict in the Middle East.

Taiwan

Taiwan will remain a lower-priority issue at the Trump-Xi summit in November. US envoy to Taiwan Raymond Greene said at the Taipei Security Dialogue on 9 September that conflict across the Taiwan Strait would damage the global economy more severely than World War II. He repeated that the priority of President Donald Trump's administration is to preserve peace along the First Island Chain, and he described the upcoming US-China summit as an opportunity to avoid "misunderstandings and miscalculations."

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Cross-strait issues will not top the summit agenda. Leaders will likely focus instead on extending the trade truce and reducing select tariffs (see: Targeted bilateral tariff reductions likely centerpiece of September summit , 27 July 2026).

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Both sides appear content to keep Taiwan off the agenda. Chinese contacts say that the only political issues the US side wants to discuss are Iran and preparations for the APEC and G20 summits. Taiwanese sources say they do not expect the summit to produce outcomes detrimental to Taipei's interests.

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Greene focused his speech on shoring up Taiwan's defenses. He emphasized greater investment in drones, the domestic defense industrial base, and reserve forces. He also refuted claims that defense industry investment fuels corruption, an argument often made by Taiwan's opposition parties as they seek to curb defense spending.

Standing Calls

Notes underpinning calls:

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Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026

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Latest dismissals deepen military turmoil and lower Taiwan risk , 26 January 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026[NK1]

Upcoming Events

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12-13 September: BRICS Summit

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24 September: Xi will visit the US

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22-29 September: UN General Assembly high-level meetings

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27 September: Six-month deadline for China's trade investigations

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October: Fifth Plenum of the 20th CCP Central Committee

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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21-23 October: Bund Summit in Shanghai (estimated dates)

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10 November: End of one-year suspension of US–China tariffs, Bureau of Industry and Security 50% ruling, Chinese export controls, port fees

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18–19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14–15 December: G20 leaders' summit in Miami

Dominic Chiu
Senior Analyst, China & Northeast Asia
chiu@eurasiagroup.net
Jeremy Chan
Senior Analyst, China & Northeast Asia
chan@eurasiagroup.net
Mingda Qiu
Senior Analyst, China & Northeast Asia
qiu.ne@eurasiagroup.net
Ava Shen
Associate, China & Northeast Asia
2025405150
shen@eurasiagroup.net
Xuanqiao Sun
Researcher, China
Sun@eurasiagroup.net
Gerard DiPippo
Director, Global Macro
dipippo@eurasiagroup.net
Dan Wang
Director, China
+65 90964887
wang@eurasiagroup.net
Amanda Hsiao
Director, China
Hsiao@eurasiagroup.net
EG China Weekly
china@eurasiagroup.net

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